



Sterlite Technologies Ltd (STLTECH)

Horizon: Swing (1-4 wk) · Bias tested: Neutral · As of 03 Jun 2026

AVOID

CMP ₹591	52W H / L ₹591 / ₹73	MKT CAP ₹28,853 Cr	P/E (TTM) VS SECTOR ~470-606x vs ~40x	ROE / ROCE 2.2% / 7.8%
PROMOTER (Δ, PLEDGE) 44.4% (↓ from 54% FY23; pledge N/A)	FII / DII (MAR-26) 11.5% / 10.8%	BETA ~1.5 (approx)	ADV ~₹500 Cr (8.7M sh)	NET DEBT ₹1,128 Cr (1.3x EBITDA)

⚡ PRIMARY CATALYST — THE REASON IT MOVES NOW

STL's subsidiary won a ~\$1.1bn (≈₹9,300 Cr) multi-year hyperscaler Product Award Letter (22 May 2026) to supply optical connectivity for US AI-data-center build-outs, with periodic POs across FY27-FY29.

CATEGORY	QUANTIFIED IMPACT	PROBABILITY	WINDOW
Order Win / AI Data-Center demand	\$1.1bn ≈ 2x FY26 revenue spread over FY27-29; lifts open order book to ₹7,309 Cr (+67% YoY)	CONFIRMED	PALs from May-26; revenue FY27-FY29

Priced in? Largely — and then some. Stock is +34% since the 22-May order (₹441→₹591) and +645% YoY; trades **above every published analyst target** (₹548 high consensus, ₹462 Street high) on ~470-606x trailing P/E. The win is real; the re-rating front-runs years of unproven conversion. · Source: STL press release / BSE filing, 22 May 2026; Business Standard, 23 May 2026

BULL

₹680-720

Fresh PO flow / incremental hyperscaler win keeps the AI-DC momentum alive; melt-up continues (+15-22%).

BASE

₹560-600

Consolidates around the all-time high, digesting the order while earnings stay thin (±0-6%).

BEAR

₹430-470

Profit-booking mean-reverts toward the 22-May order base (₹441) and Street target ceiling (-20 to -27%).

A genuine, large AI-data-center order has already re-rated STLTECH from turnaround to story stock — but at ~470-606x trailing earnings and a price above every analyst target, the swing-horizon edge is gone; the catalyst is in the price and the next move depends on conversion that won't print until FY27.

CATALYST LADDER — SECONDARY TRIGGERS, RANKED BY IMPACT × PROBABILITY

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Financial inflection	FY27 revenue ramp + margin as data-center mix rises (NA already 39% of FY26 rev vs 25%)	Scales PAT off a thin ₹56 Cr FY26 base; would compress the extreme P/E if delivered	M	FY27	Q4FY26 concall, May-26
Order wins	US BEAD-driven broadband demand + periodic PO releases converting the \$1.1bn PAL into firm orders	Revenue visibility; order book ₹7,309 Cr (+67% YoY, +110% intake)	M	H2 CY26 → FY27-29	STL PR / concall, Apr-May 26
Product	Neuralis AI-DC suite (Celesta DCI, ultra-high-density MPO/MMC) + India-first Hollow Core Fibre (latency -35-40%)	New TAM in AI whitespace; qualitative	M	CY26-27	Data Center World, Apr-26

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Restructuring	Demerger of Global Services business completed → optical-pure STL; services now "Invenia"/STL Networks	Cleaner re-rating candidate; qualitative	Done	Completed Apr-2025	Business Standard, Apr-25
Capital action	Potential equity raise (QIP) to fund data-center capacity expansion against the new order book	Dilutive; watch — qualitative	L-M	N/A (unconfirmed)	qualitative
Ownership	Promoter holding 44.4%, down from ~54% (FY23); further stake/pledge action a watch-item	qualitative	L	ongoing	Screener shareholding, Mar-26

WHAT THE STREET IS PRICING IN

Coverage is thin and badly lagging the move. [Trendlyne consensus ₹548](#) (2 analysts, implies ~-7% from CMP); Wall-Street-style average ~₹431 (high ₹462); older domestic notes as low as ₹171-197. **The stock trades above virtually every target.** What's **IN the price**: the \$1.11bn order, the AI-DC narrative, order-book strength, the demerger clean-up. What's **NOT in numbers yet**: actual FY27 PO conversion, margin delivery, and any earnings that justify ~470-606x TTM P/E — the re-rating is entirely forward-hope. No dividend (0% yield).

RISKS TO WATCH

RISK	TRIGGER	DOWNSIDE	PROB
Valuation de-rating	Any growth wobble at ~470-606x TTM P/E, P/B 12.7x	-30 to -50%	H
Parabolic unwind	Profit-booking after +645% YoY / 3x in 10 wks	-25% to ₹441 base	M-H
Order conversion shortfall	PAL is a letter; POs periodic, demand-shortfall clause	-20 to -30%	M
Customer / geo concentration	Single hyperscaler; North America 39% of revenue	-15% (qual.)	M
Equity dilution	QIP to fund capex for the new order book	-10% (qual.)	M
Balance sheet	Net debt ₹1,128 Cr (1.3x EBITDA); rate / WC drag	qualitative	L

KEY LEVELS & TRADE FRAME

Entry zone (no chase)	₹460-490 on a reset
Stop (below 22-May order base ₹441)	₹430
Target 1 / Target 2	₹560 / ₹620
R:R · suggested size	~1.9:1 · ≤2-3% capital

Levels approx — verify on chart. No DMA feed; CMP ₹591 is a fresh ATH with no overhead reference. Frame assumes a pullback toward the order-day base; do not initiate at the high.

CATALYST CALENDAR

DATE	EVENT
22 May 26	\$1.11bn hyperscaler PAL announced (done — reference)
Jul-Aug 26	Q1 FY27 results — first read on PO conversion / margin
Aug-Sep 26	FY26 AGM
H2 CY26	US BEAD-driven broadband demand ramp window
FY27	First periodic PO releases under the \$1.11bn PAL

AVOID

Real catalyst, wrong entry. The \$1.11bn order is genuine and the order book is strong, but at ~470-606x trailing P/E, a price above every analyst target, and +645% in a year, the swing-horizon risk/reward is poor — chasing a parabola or shorting violent momentum are both bad trades. Wait for a pullback to the order-day base. **Flips the call**: a confirmed incremental hyperscaler order OR a printed FY27 quarter showing the \$1.11bn converting to revenue + margin (re-rates forward earnings → buy the pullback, not the high).

MPM · SCREEN — ANALYZE — INVEST

For information only. Not investment advice or a solicitation. STLTECH is a high-volatility, momentum-extended name; figures are from public sources and may be revised. Verify against the latest exchange filings before acting.

Sources: STL press release & BSE filing (22 May 2026); Business Standard (23 May 2026, Apr 2025 demerger); Screener.in consolidated (02 Jun 2026); Trendlyne (02 Jun 2026); STL Q4/FY26 results & concall (May 2026); NSE/Groww quote (01-02 Jun 2026). Discarded stale reads: older domestic targets ₹171-197 (pre-rally).

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